# Goldman Sachs' Copper Outlook and BHP's $6 Billion Escondida Decision

## Near-term earnings exposure and the economics of replacement

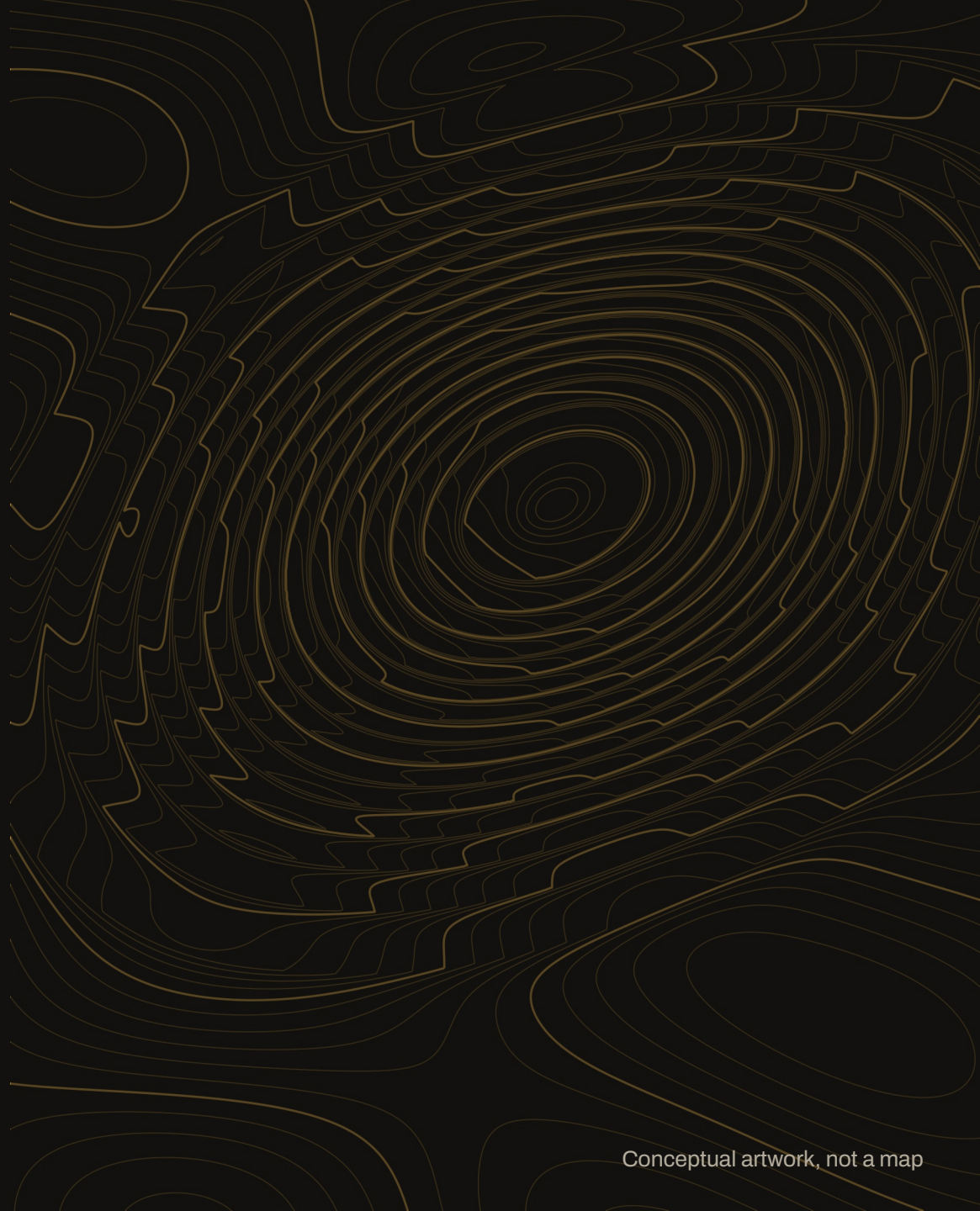
Goldman Sachs' higher copper outlook implies a large near-term earnings sensitivity for BHP, while the proposed Escondida concentrator will be judged on the mine output and cash flow it preserves over a much longer period.

**$2.83bn**

FY2026-static EBITDA sensitivity to Goldman's reported $1,600/t copper revision
An illustration, not a 2027 forecast

**DRAFT · REVIEW GATES PENDING**

Strategic Materials Policy Tracker · Research cutoff: 5 November 2026



Conceptual artwork, not a map

# Goldman's $1,600/t revision implies a $2.83bn FY2026-static EBITDA sensitivity

Static copper EBITDA differential, US$bn, from BHP's disclosed FY2026 sensitivity

| # | Item | Differential |
|---|---|---|
| 1 | **GS revised vs previous** | 2.83 |
| 2 | **GS revised vs World Bank** | 4.25 |

US$bn, FY2026-static

1. $15,400/t against $13,800/t, applied to BHP's $39m per US¢1/lb sensitivity; linear.
2. $15,400/t against the World Bank's $13,000/t for the 2027 annual average, on the same basis.

Both figures are sensitivities, not forecasts. The replacement concentrator needs about 199ktpa to clear a 10% return in SMPT's hypothetical base case, rising to 333ktpa when benefits are shorter and start later. Funded pre-FID readiness is the supported position; ranking construction timing needs an operating counterfactual BHP has not published.

Source: BHP FY2026 results presentation and Annual Report 2026; World Bank CMO October 2026; Goldman Sachs revision as publicly reported; SMPT calculations

# Goldman's revised 2027 average sits 18.5% above the World Bank

Calendar-2027 copper price references, US$/t




The $15,400/t annual average comes from public reporting; the original 19 October note was not obtained. Goldman's $15,600/t end-2027 view is a different measure and is not charted. The $14,405/t forward is a dated 19 October snapshot, not a tradable curve.

Source: World Bank CMO October 2026, Table 1; FinancialJuice and Reuters via Business Recorder reporting of Goldman Sachs; Goldman Sachs Exchanges, 23 October 2026

# Copper EBITDA rose to $18.2bn in FY2026 as production slipped

BHP reported results, US$bn unless labelled, fiscal years to 30 June

| # | Item | FY2025 | FY2026 |
|---|---|---|---|
| 1 | **Copper revenue** | 22.530 | 29.031 |
| 2 | **Copper underlying EBITDA** | 12.326 | 18.187 |
| 3 | **Group underlying EBITDA** | 25.978 | 32.947 |
| 4 | **Copper production, Mt** | 2.017 | 1.953 |

US$bn unless labelled

2 Copper is 55.2% of group EBITDA by simple division; BHP's stated 54% share excludes Group and unallocated items.

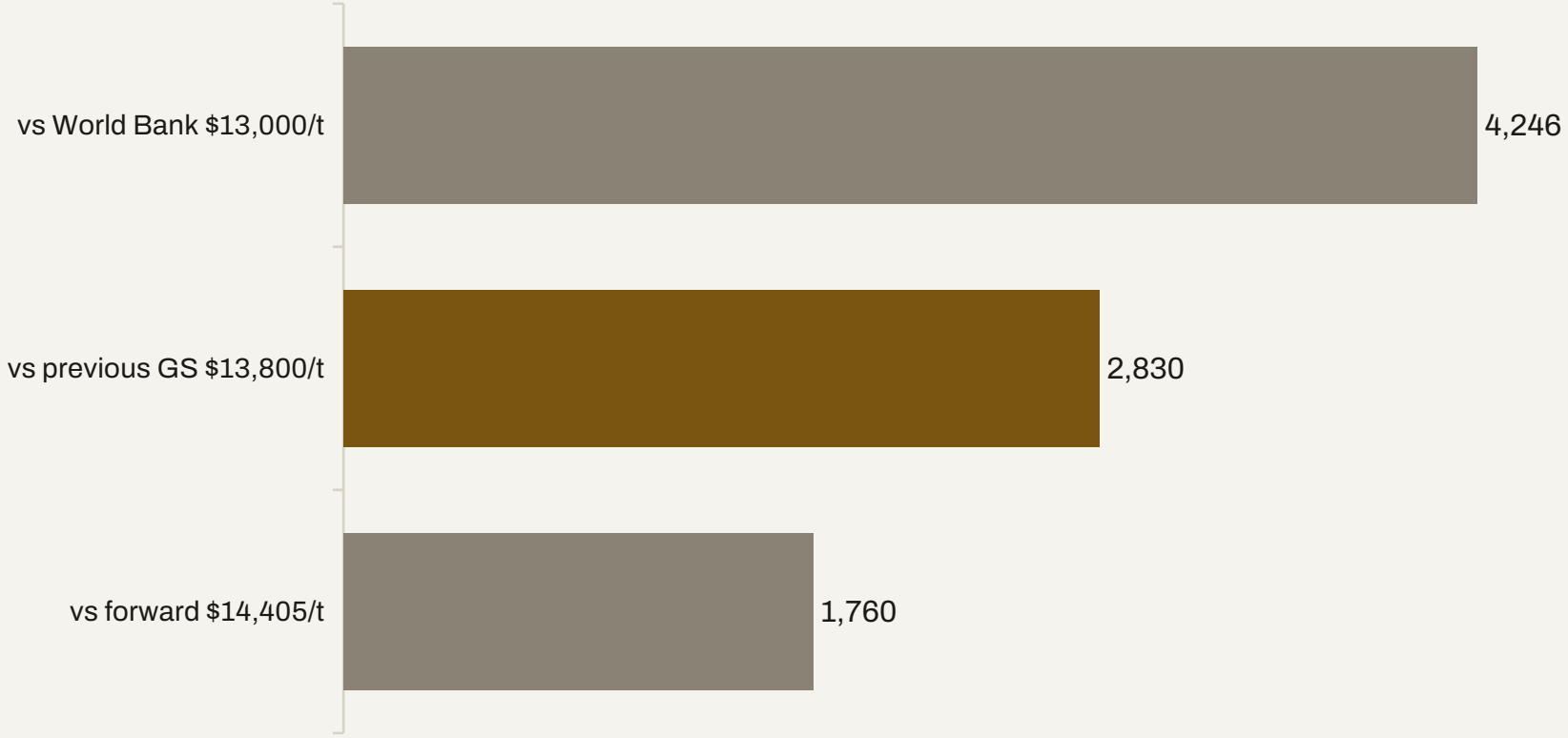
4 Group copper production on the mixed basis BHP reports.

EBITDA rose by $5.861bn while group production fell, as the average realized price moved from $4.25/lb to $5.74/lb. The figures show the size of the exposure; they do not attribute the whole increase to price.

Source: BHP FY2026 results presentation and exchange release; BHP Annual Report 2026

# Each price comparison scales BHP's $39m sensitivity in a straight line

Static FY2026 copper EBITDA differential against Goldman's revised $15,400/t, US$m

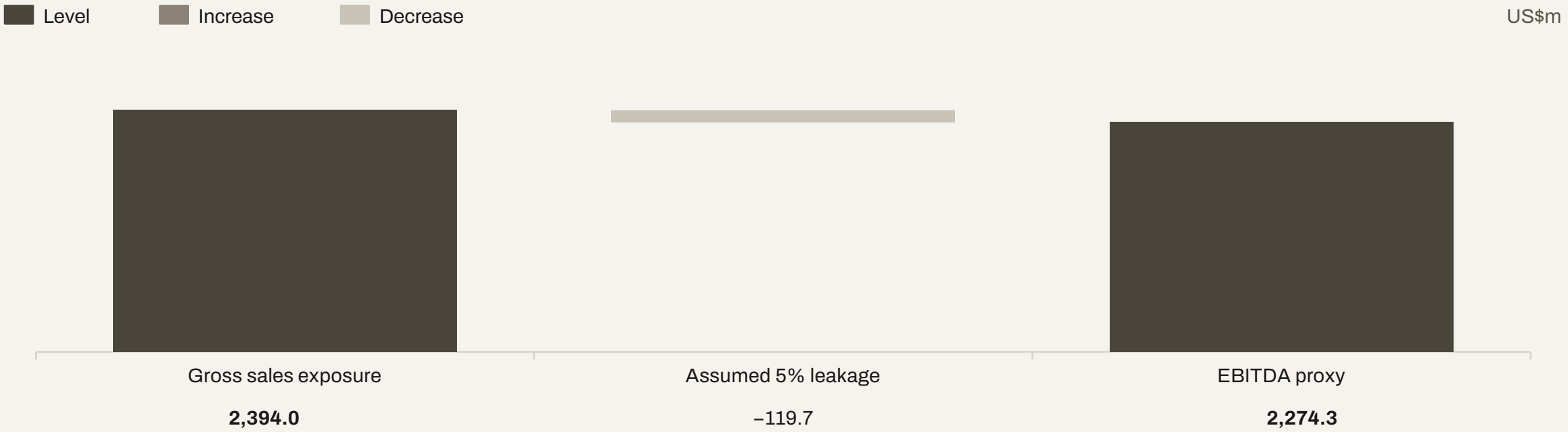



Differential = price gap ÷ 2,204.6226 × 100 × $39m. The results equal about 9% and 13% of FY2026 group EBITDA for the previous-Goldman and World Bank comparisons. BHP realized $7.01/lb (about $15,454/t) in Q1 FY2027. Linear sensitivities, not forecasts.

Source: BHP FY2026 results presentation; BHP Q1 FY2027 operational review; SMPT Price_Sensitivity calculations

# A FY2027-volume proxy yields a smaller $2.27bn EBITDA illustration

Illustrative FY2027 EBITDA effect of the $1,600/t revision, US$m

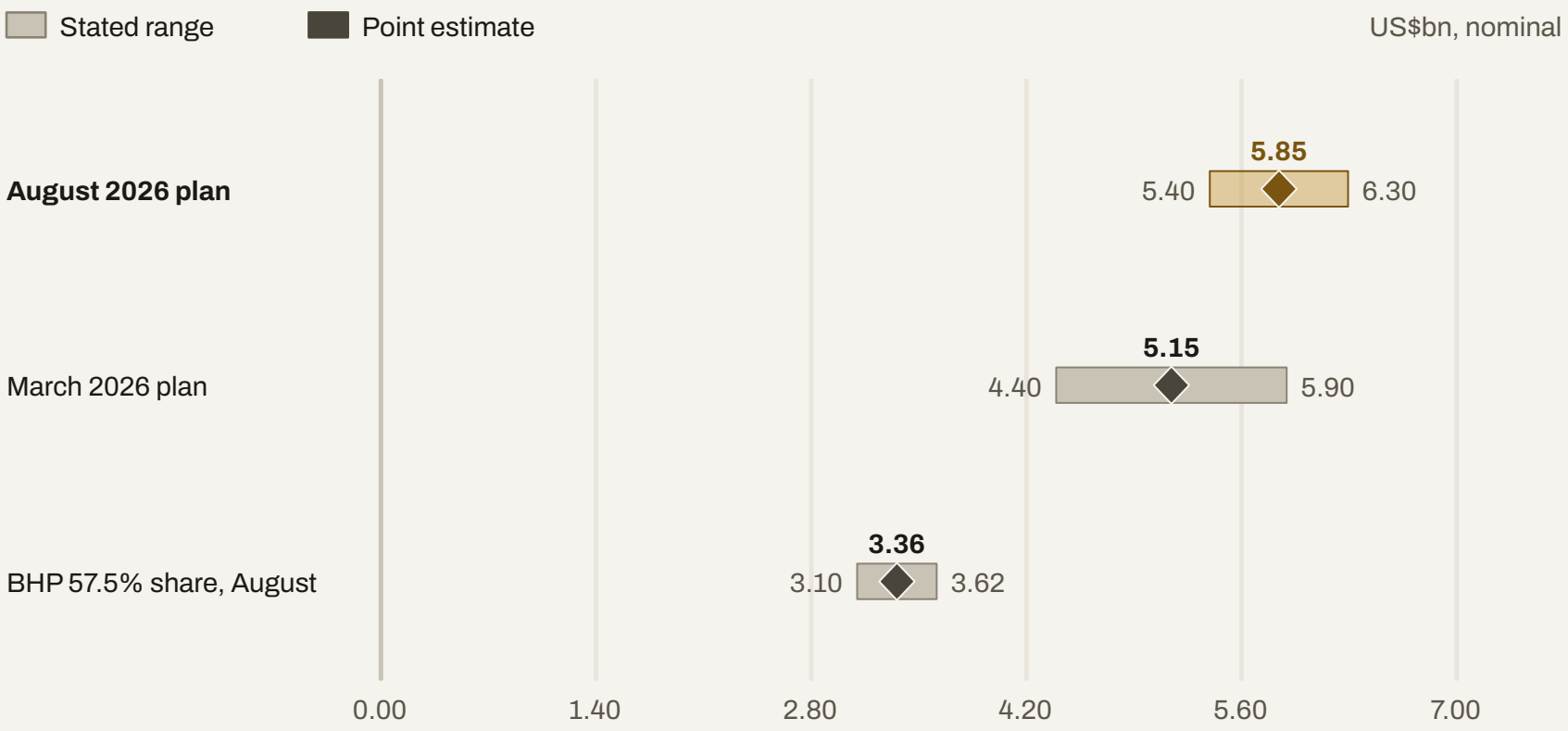



1.575Mt guidance midpoints × 95% assumed payable factor = 1.496Mt; × $1,600/t = $2,394m; less 5% assumed leakage = $2,274.3m, about 19.6% below the $2,830m issuer-static figure. The two measures use different periods and volume scopes. Neither is a forecast or a measure of funding capacity.

Source: BHP Q1 FY2027 operational review guidance; SMPT methodology proxy calculation

# BHP raised the concentrator capex range to $5.4–6.3bn in August

Escondida replacement concentrator capital cost, US$bn nominal; points are range midpoints




The August midpoint is 13.6% above March, and the output midpoint 4.2% higher (230–270ktpa against 220–260ktpa, FY34–43 average). The change is a plan revision, not a reported overrun. Output replaces Los Colorados rather than adding capacity. Permit submitted 17 March 2026; RCA pending; FID CY2027–28; first production CY2031–32.

Source: BHP FY2026 results presentation; BHP Escondida permit submission, March 2026; SEIA index, retrieved 5 November 2026

# The midpoint capex needs $839m a year of after-tax benefit at 10%

SMPT hypothetical reverse appraisal, US$m nominal

| # | Item | Value |
|---|---|---|
| 1 | **Capex midpoint** | 5,850 |
| 2 | **Present value of capex** | 4,435 |
| 3 | **Required annual benefit** | 839 |

US$m, nominal

2 Five equal year-end draws, 2027–31, discounted at 10% nominal.

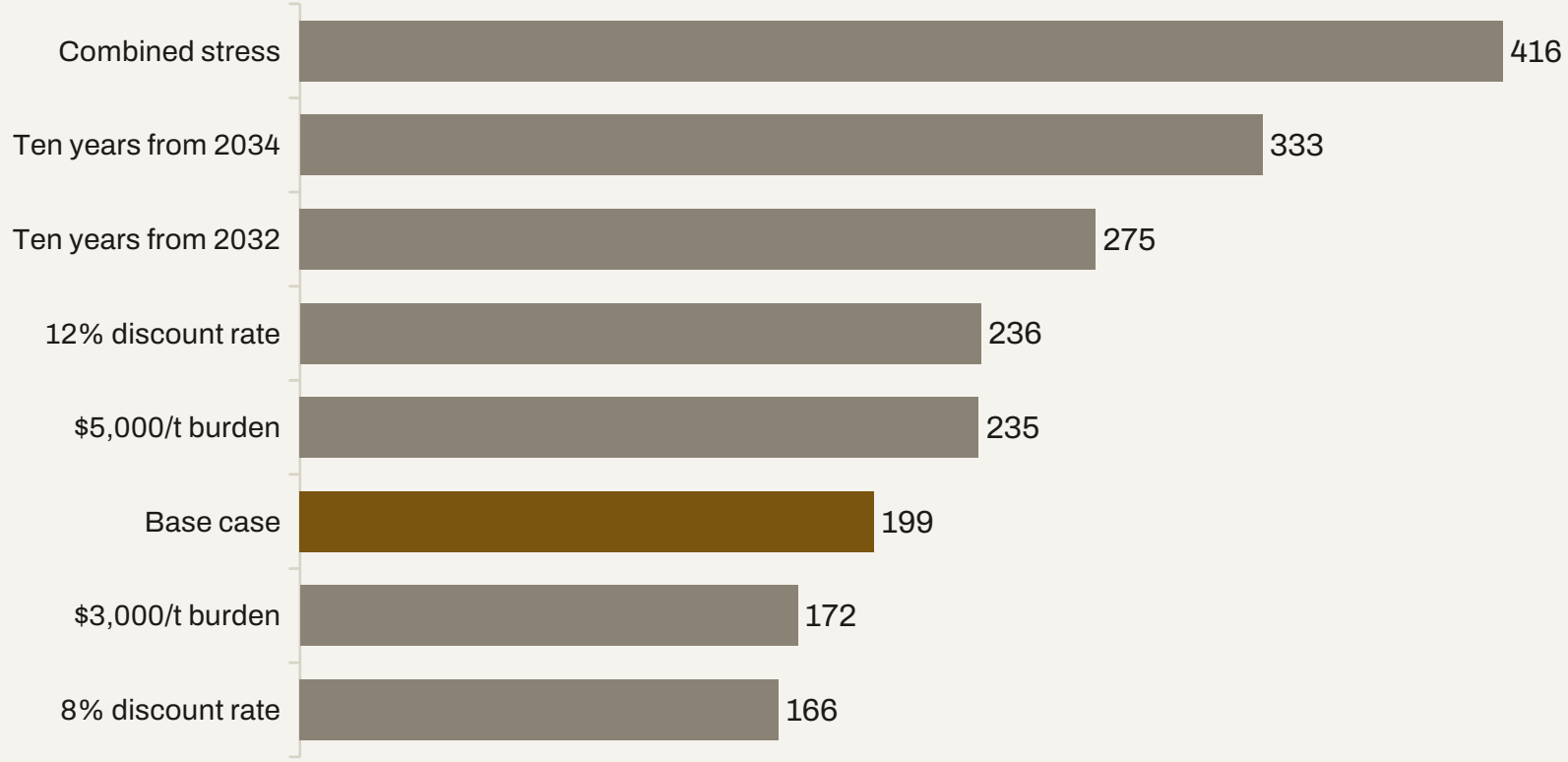
3 Twenty years from 2032. At $10,494/t, a $4,000/t assumed burden (not C1) and 35% tax, this needs 198.8ktpa.

> This is SMPT's hypothetical calculation against a no-build baseline. BHP discloses a 16–18% IRR at $4.76/lb (about $10,494/t); these calculations do not reproduce it.

Source: BHP FY2026 results presentation; SMPT methodology and Threshold_Sensitivities calculations

# Shorter or later benefits raise the threshold from 199ktpa to 333ktpa

Annual output needed for a 10% nominal return, SMPT hypothetical cases, ktpa

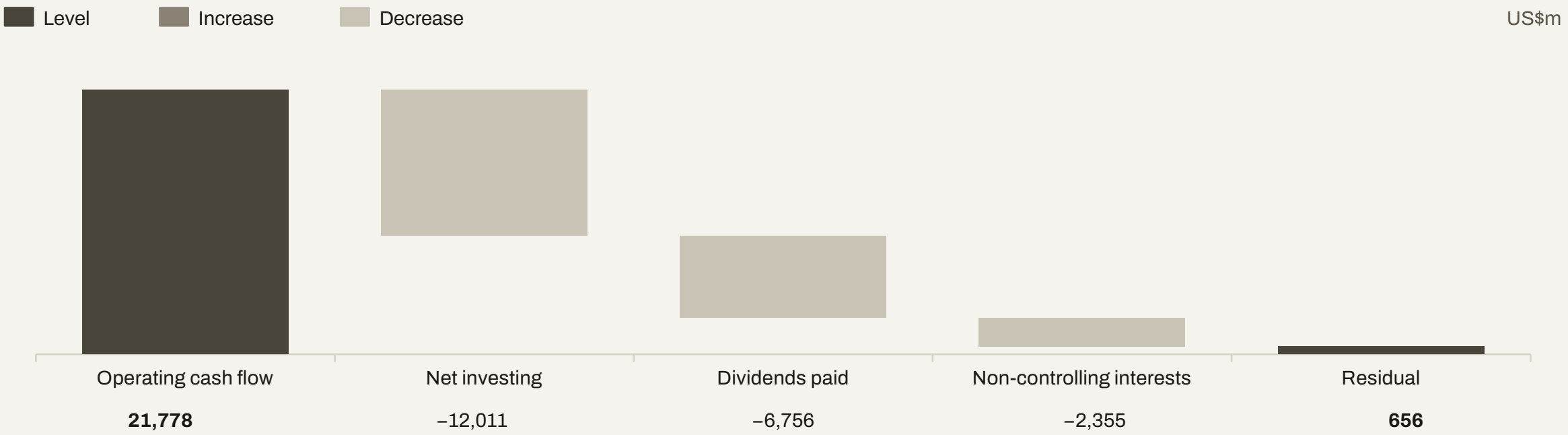



BHP's 230–270ktpa guidance is an FY34–43 average and does not establish twenty flat years. Combined stress applies $8,500/t, +20% capital and a two-year delay. Each case changes one input from the base unless labelled.

Source: SMPT Threshold_Sensitivities calculations; BHP FY2026 results presentation for the output guidance

# Dividends and minority payouts absorbed almost all FY2026 free cash flow

BHP group cash flow, FY2026, US$m




21,778 – 12,011 = 9,767 free cash flow; less 6,756 dividends and 2,355 to non-controlling interests leaves 656. The $4.3bn silver stream is a financing inflow and is excluded. Copper free cash flow of $12bn (FY27–31) and $24bn (FY32–35) are management scenarios. Group capex runs about $11bn a year; net debt $8.694bn, cash $18.532bn, undrawn RCF $5.5bn.

Source: BHP Annual Report 2026, cash flow statement and capital management; BHP FY2026 results presentation

# Public evidence supports funded readiness ahead of a construction decision

Timing actions and the evidence each would need; the first is the supported position

| | |
|---|---|
| **Maintain funded pre-FID readiness** | Supported now. The replacement need is credible and no costed avoided loss has been shown; each preparatory commitment needs a defined purpose, through permit, engineering and return gates. |
| **Stage, re-scope or defer** | If alternative circuits protect production cheaply, the mature cost or recovery profile weakens returns, or irreversible works face material redesign risk. |
| **Accelerate major construction** | Needs an annual operating plan showing unavoidable retirement losses worth more than the acceleration premium and added execution risk, plus approved permits, safe interfaces, supplier availability and a costed schedule. |
| **Accelerate selected preparatory work** | Where the information or schedule protection is worth its cost, such as avoiding a costed schedule bottleneck. |

> Ranking the actions needs annual with-build and no-build output, alternative processing, capital draws, ramp-up, costs, tax and closure obligations, none of which BHP has published. Equal schedule shifts cancel in the discount factor, so timing alone does not rank them.

Source: SMPT analysis of BHP FY2026 results presentation and Annual Report 2026; SMPT methodology